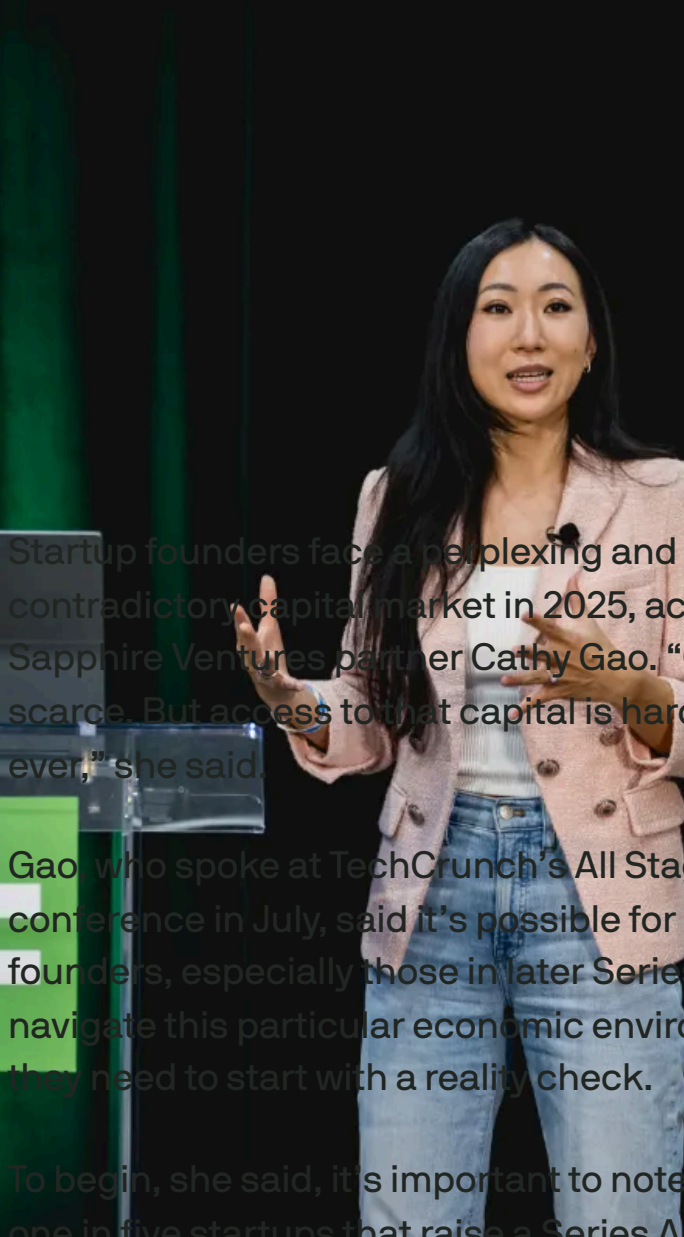


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**What founders should
think about if looking to
raise a Series C**



Startup founders face a perplexing and even contradictory capital market in 2025, according to Sapphire Ventures partner Cathy Gao. “Capital isn’t scarce. But access to that capital is harder than ever,” she said.

Gao, who spoke at TechCrunch’s All Stage conference in July, said it’s possible for startup founders, especially those in later Series C stage, to navigate this particular economic environment. And they need to start with a reality check.

To begin, she said, it’s important to note that only one in five startups that raise a Series A ever make it to raise a Series C. And, in the past year, the bar for raising late-stage capital has only risen; investors are no longer just chasing momentum, as many were in the last few years — they are chasing *certainty*, Gao said.

“Investors are now asking: ‘Is this company truly a winner in whatever market that they’re serving?’” Gao said. “The question really isn’t, ‘is this company growing?’ The question has shifted to, ‘is this company on a trajectory where the upside is really undeniable?’”

Companies raising Series C rounds should meet certain criteria. For one, they’re all category leaders, according to Gao.

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“They’re defining their categories. They have clear go-to-market and undeniable pull,” she said. “In short, they’re growing efficiently, but there’s also traction to show that these are truly the market leaders in the spaces that they operate in.”

Companies looking to raise a Series C should also remember that metrics do not always equal money. Sure, metrics are important, as are annual returns, growth, and retention, she said, but if investors are not sold on the idea that a company can truly become a leader in their respective space, then they are going to move on.

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“Investors have to explain why a company will win in the future,” she continued. For example, there are companies that don’t have amazing metrics yet somehow raise a suitable Series C round. In one case, a startup nabbed more than a \$2 billion valuation, she noted. “They were effectively able to communicate the story to investors why this

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company will be a leading company over time,” Gao said of the company’s successful raise.

Another Gao rule: continuity is better than short-term virility.

In the age of AI, companies are growing faster than investors have ever seen before, she noted. “But oftentimes it’s the case, what goes up also sharply comes down,” Gao said. “So the question is, ‘is this growth sustainable?’”

In a Series C, investors are looking for “compounding loops,” or seeing that the company gets stronger as it scales, she said.

“Does your product get better for every new customer you sign? Does your CAC [customer acquisition cost] decrease or increase for every new user you bring on board?,” she asked.

If the answer is yes, then investors will “lean in,” Gao said; if the answer is “no,” then investors are most likely to “lean out,” even if a company’s metrics look very strong.

Finally, she said, founders should treat fundraising like a go-to-market campaign and seek to develop relationships with VCs before pitching them for capital. Gao cited her firm as an example. Sapphire likes to invest in a company at the Series B level, but they usually have known the company for a year or longer.

“That means at the Series A, even though we’re not actively leaning in to try and raise, we’re trying to build a relationship with a company and with the founder,” she said. “We’re getting information and we’re developing a longitudinal picture of how this company has progressed.”

She said founders should start building a “lightweight investor CRM,” or a database

managing the relationships with investors.

Investors take notes while meeting with founders, and founders should do the same, she said. Founders should write down the names of partners, what they like to invest in, and what companies they've backed recently. Create a distribution list and send out periodic updates to the investors on it, she said. "This is an easy way to keep inventors in the loop."

Perhaps most importantly, however, Gao noted that a company looking to raise a Series C should not enter a fundraise until they've received a signal from multiple firms that they're interested in backing the round.

"The last thing you want to do is time the market incorrectly," she said. After all, timing is everything at the Series C level. "It's not about luck, pitching to a 50 and hoping that one says yes," she continued. "It's really about timing and planning ahead."

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IMAGE CREDITS: SAAR GUR/CRV

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Venture firm CRV raises \$750M, downsizing after returning capital to investors

Marina Temkin — 4:22 PM PDT · August 1, 2025

CRV has secured \$750 million toward the 55-year-old venture firm's twentieth flagship fund, it [announced](#) on Friday.

The new fund is smaller than [the \\$1 billion early-stage fund](#) CRV closed in the fall of 2022. At that time, the firm also announced a \$500 million second Select fund, a capital pool for backing late-stage rounds of existing portfolio companies.

It's no surprise that CRV is not raising a late-stage fund as part of its new fundraise. Last year, the firm told The New York Times it [was returning \\$275 million from its \\$500 million](#) Select fund to

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investors. The firm explained that it would not be raising another late-stage vehicle because follow-on rounds for many of its companies would lower its overall returns.

CRV's limited partners were eager to back the firm's smaller fund, the firm said. It raised its entire \$750 million fund in just four weeks, with demand for double that amount, CRV wrote.

The latest fund will be used to invest in seed and Series A startups and it will focus on backing consumer and devtools companies.

CRV is known for leading DoorDash's seed financing and the Series A rounds for both Mercury and Vercel, a cloud platform for web developers, which was last valued at \$3.25 billion.

Since its founding in 1970, CRV has backed over 750 startups, with 80 of them eventually going public.



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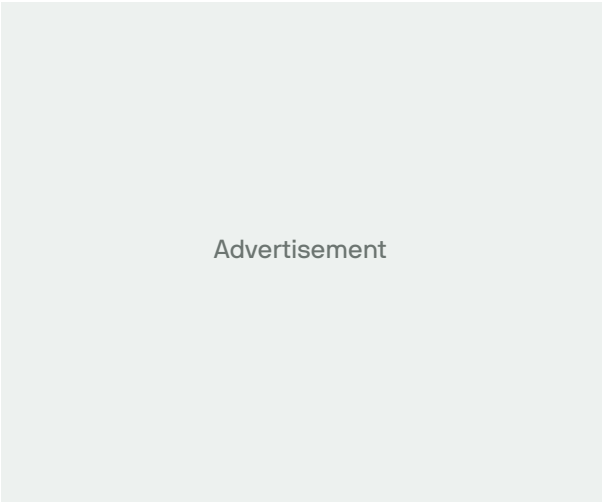
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The firm’s latest investments include [CodeRabbit](#), a startup for AI code review, and Outtake, a company that uses AI for cybersecurity.

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Kleiner Perkins is having a very good week

Julie Bort — 3:04 PM PDT · August 1, 2025

Even while the tech industry is still fanning its face over Figma's hot IPO on Thursday, another significant tech IPO occurred this week: [Ambiq Micro](#). On Wednesday, the chip maker for wearable devices saw its shares climb from the initial price of \$24 to over \$42 on Friday.

There's one thing both companies have in common: Kleiner Perkins was a major investor.

So it's been a very good week for the venerable venture firm. Just for fun, we've calculated the value of Kleiner Perkins' stake in each company.

Kleiner sold 1,346,499 shares of Figma at the IPO price of \$33, [Figma disclosed](#), and could have sold as many as 2,756,020 shares at that price if the bankers exercised their option to nab additional shares. Given how much [demand outstripped supply for shares of Figma](#), we're going to assume the bankers will snap up the full tranche (or they already have).

Meanwhile, Kleiner still holds 52,364,374 shares of Figma, the company says. Share prices are still fluctuating wildly in heavy trading on Day 2, from

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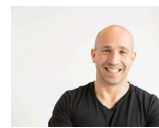
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about \$110 to over \$142, but closed Day 1 at \$115, so we'll use that number.

For Figma: An estimated \$91 million returned from share sales and a remaining stake worth more than \$6 billion (2,756,02 shares at \$33 = \$90,948,660, and 52,364,374 shares at \$115 = \$6,021,903,010).

For perspective, this stake in Figma alone is worth 3x the last mega-funds the firm raised, which was [\\$2 billion across two vehicles in 2024](#). By the way, the Kleiner partner who oversaw its investment was Figma board member Mamoon Hamid.

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Ambiq is a much smaller company and it was a much smaller IPO. It sold a total of 4 million shares and raised \$96 million for itself in its IPO. Existing shareholders are subject to the classic 180 days lockup before they can sell. Kleiner holds 2,081,831 shares, [the company disclosed](#). Shares are still trading at a premium to the IPO price as of Friday and closed Thursday at \$43.85. So we'll use that price.

Ambiq stake: \$91.3 million (2,081,831 at \$43.85 = \$91,288,289).

But wait! There's more. Kleiner is also having a good month and possibly year (Kleiner has declined comment for this story).

The firm reportedly scored a decent return earlier this month as part of [Google's deal to license tech from Windsurf](#) and hire away its top talent. We don't know exactly how [much of the \\$1.1 billion or so VCs obtained](#) from the Windsurf deal went to Kleiner specifically. But TechCrunch's Marina Temkin reports the total return was about 3x the original funding.

And at least one more Kleiner-backed company is waiting in the wings to IPO. Fleet tracking startup Motive Technologies raised \$150 million led by Kleiner Perkins, with Ilya Fushman joining the board, the company [announced](#) this week. Bloomberg [reported](#) in December that Motive is gearing up for an IPO, potentially still in 2025.

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Weeks after the revelation that Google paid Windsurf \$2.4 billion to license its technology, while simultaneously hiring away its CEO and top talent, the deal's implications are still [rattling some founders and startup employees](#) across Silicon Valley.

Google's payment to the startup was effectively split in two equal parts, according to two people familiar with the deal. Investors' portion was \$1.2 billion.

The other half was in the form of compensation packages for approximately 40 Windsurf employees hired by the tech giant with a substantial portion of

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that \$1.2 billion going to the startup's co-founders, Varun Mohan and Douglas Chen, sources say.

The transaction was a good outcome for VCs, which included Greenoaks, Kleiner Perkins, and General Catalyst. Windsurf raised a total of [about \\$243 million](#) as of its last raise in 2024 that valued the company at \$1.25 billion, which means the total return to investors was about 4x their original funding.

Greenoaks, which led Windsurf's seed and Series A financings and owned 20% of the company, returned about \$500 million on their \$65 million investment in the startup, according to a person familiar with the matter. Kleiner Perkins, which led Windsurf's Series B, returned about 3x its invested capital, according to another person familiar with the deal.

Google, Kleiner Perkins, and Greenoaks declined to comment. General Catalyst, Varun Mohan, and Douglas Chen didn't respond to a request for comment.

Even so, most investors were aiming for a more significant win from the company.

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In February, TechCrunch reported that Kleiner Perkins was in talks to lead a fresh round of funding, valuing the startup, which was then known as Codeium, at [\\$2.85 billion](#). That deal didn't happen, according to a person familiar with the matter, because Windsurf had instead agreed to be purchased by [OpenAI for \\$3 billion](#).

As we all know now, the OpenAI acquisition unraveled and [Google swooped in](#) with its deal structured to offer investor returns and obtain talent and IP without acquiring stock.

But what's rattling the Valley is this: While Google's deal was good for the co-founders and VCs, it didn't benefit a large portion of Windsurf's approximately 250 employees, especially after they were expecting a payout from the sale to OpenAI.

In a typical acquisition, employees would get money for the shares they owned and would often have [their vesting schedule accelerated](#). However, Windsurf employees who were hired over the last year didn't receive a payout from the deal, these people said.

The Google deal was especially unsettling to approximately 200 Windsurf employees not hired by the search giant.

Instead of siphoning every penny of Google's payment into their own pockets, investors opted to leave the company with over \$100 million in capital.

One source says this was entirely funded by VCs, meaning their total payout was about \$1.1 billion. However, another person said that the founders

equally chipped in to leave the company with a nest egg from the Google payment.

Multiple people said that the money left for the company would have been sufficient to pay all remaining employees proceeds at the Google deal's per-share valuation, regardless of how long they had been with the company. However, to have done that immediately would have been problematic, leaving the company with less cash to operate and — with founders and key people gone — with no investors ready to finance a new raise. The remaining leadership would likely have had to shut down after making such cash distributions, one of the people said. Meanwhile, another person claimed that the company had enough capital to pay out employees and continue to operate.

That difference of opinion is only part of the reason the deal became so controversial.

What's more, at least some of the employees Google did hire, despite attractive pay and benefits, saw their stock grants revoked and their vesting timelines restarted. That meant they'd have to wait an additional four years for their total payout in Google stock, according to people familiar with the deal.

Some top VCs condemned the 3-year-old startup's co-founders for not sharing their windfall with all the people who helped build the company.

“Windsurf and others are really bad examples of founders leaving their teams behind and not even sharing the proceeds with their team,” wrote [Vinod Khosla on X](#). “I definitely would not work with their founders next time.”

After several days of limbo following the announcement of the Google deal, Windsurf's

remaining entity, under the leadership of interim CEO Jeff Wang, managed to sell itself to Cognition.

Cognition acquired Windsurf’s IP and product and brought on all staff not hired by Google.

While the exact deal terms of that sale were not disclosed, the acquisition allowed every employee to financially gain from the sale, according to a [blog published by Cognition](#).

Two other sources estimated to TechCrunch that Cognition paid \$250 million to acquire Windsurf’s remaining entity.

Cognition didn’t respond to a request for comment.

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Marina Temkin

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Fundamental Research Labs nabs \$30M+ to build AI agents across verticals

Ivan Mehta — 8:15 AM PDT · August 1, 2025

Applied AI research company [Fundamental Research Labs](#) (formerly known as Altera)

announced today that it has raised \$33 million in Series A funding led by Prosus with participation from Stripe co-founder and CEO Patrick Collison.

The company has a curious structure, as it is working on multiple AI applications in different fields. When it raised its seed funding, Fundamental Research Labs was developing bots that could play Minecraft with you.

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Today, the company has a games team, a prosumer team building apps, a core research team, and a

platform team. The startup’s founder, Dr. Robert Yang, a former faculty member at MIT, says that Fundamental Research Labs wants to be a “historical” company without adhering to a typical startup structure.

Yang said that the company is already charging users for this agent after a seven-day trial and bringing in revenue.

Among the products Fundamental Research Labs offers is a general-purpose consumer assistant called [Fairies](#). This app allows you to chat with an AI bot, connect applications, and ask questions across the knowledge bases of those applications, then ask it to schedule appointments for you on your calendar. The app can schedule workflows for you to repeatedly execute some tasks. Yang said that this app allows the startup’s engineers to test out various capabilities of models and platform tech it is developing.

The company also offers a spreadsheet-based agent called [Shortcut](#), which has been used by analysts for creating different financial models and performing analysis over them. The startup said that this agent works like a junior analyst and can do work autonomously. The company has made it look like Excel and has tried to retain a lot of functionality for power users.

“We’ve seen many early-stage startups, but what stood out here is a small, highly mission-driven team focused on digital humans with actual use cases. Their recent launches, like Fairies and Shortcut, aren’t just demos; they’re already demonstrating how AI can augment the human workforce in meaningful ways,” Sandeep Bakshi, an investment partner at Prosus, told TechCrunch over email.

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“What stood out with Fundamental Research Labs is not just the ambition of the vision, but again the caliber of the team driving it,” he added. “Their ability to attract some of the brightest minds in the world, and turn that talent into real-world products, makes this a uniquely compelling venture opportunity for us.”

The company raised [\\$9 million in a seed round last year](#), which was co-led by First Spark Ventures and Patron, with participation from a16z Speedrun and Eric Schmidt. The startup has raised over \$40 million in funding to date.

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— nico (@nicochristie) [July 28, 2025](#)

Yang said the company is open to trying out various application models and eventually wants to build robots as well.

“We are working on productivity (apps) now because that is where the most value is created. You can make a lot of money doing this and build your team and tech. Eventually, we want to solve physical problems and move towards working on embodiment,” Yang said.

Correction: The funding round was \$33 million, not \$30 million; the story was updated with the accurate amount.

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